KOPI KITA SDN BHD - CONTRACTING POLICY

Version 1.2 | Effective 1 July 2026 | Owner: Founder and Managing Director | Reviewed by: CFO

Why we have this policy

We are a small company with twelve outlets and a central roastery. We sign contracts with suppliers, software vendors, landlords, delivery platforms and potential partners every month, and we do not have an in-house lawyer. This policy sets out the rules every contract must meet before anyone at Kopi Kita signs it. If a contract breaks a rule, do not sign it: ask the other side to change it, or get a written exception under Rule 13.

These rules apply to every contract we sign as a customer or as a party to an NDA, whatever it is called (agreement, terms, order form, subscription, MoU). They do not replace advice from our external lawyers on large or unusual deals.

Rule 1. Who may sign

1.1 Only the Managing Director or the CFO may sign a contract for Kopi Kita.

1.2 Outlet managers may place orders under contracts that are already signed, but may not accept new terms, including terms in an online checkout or a supplier's invoice.

1.3 Any contract worth more than RM 50,000 a year, or longer than 12 months, needs both the Managing Director and the CFO to sign.

Rule 2. Never accept uncapped liability

2.1 In service, software and supply contracts, each side's total liability must be capped at **12 months' fees**, and the cap must apply **both ways**: the same cap for us and for the other side.

2.2 We do not accept a vendor cap lower than 12 months' fees (for example one month or three months).

2.3 We do not accept a contract that caps the vendor but leaves our liability unlimited.

2.4 It is fine for both sides to stay uncapped for fraud, death or personal injury, and for a higher cap to apply to both sides for data and confidentiality breaches.

2.5 NDAs are covered by Rule 10, not by this rule.

Rule 3. Indemnities only for third-party claims

3.1 We give an indemnity only for **third-party claims caused by our own breach, data or negligence**. We never indemnify a vendor for "any and all losses" connected with the contract, and never for losses caused by the vendor's own negligence.

3.2 Any vendor that builds or licenses software or content to us must indemnify us if a third party claims it infringes their intellectual property.

Rule 4. Auto-renewal needs CFO approval

4.1 A contract that renews automatically needs the **CFO's written approval** before signing, recorded in the contracts register.

Sample document for testing. All parties are fictional.

4.2 The notice window to stop renewal must be **30 days or less**, and each renewal period must be **12 months or less**.

4.3 We must be able to give notice of non-renewal by email. Clauses that accept only registered post are not acceptable.

Rule 5. Price increases capped at CPI + 3%

5.1 Any price increase must be capped at **CPI + 3% a year**, where CPI is the annual change in the Consumer Price Index for Malaysia published by the Department of Statistics Malaysia.

5.2 Increases may happen at most once a year, with at least 60 days' written notice, and we must be free to leave the contract if we do not accept the increase.

5.3 Fixed automatic increases (for example "10% every year") are not acceptable, even if they look small.

Rule 6. Payment terms

6.1 We pay within **30 days** of a correct invoice. We do not accept payment terms shorter than 30 days for regular services.

6.2 Late interest must be no more than **1% a month**, and only on amounts we do not dispute in good faith.

6.3 We must be able to hold back the disputed part of an invoice while we sort it out.

Rule 7. We must be able to leave

7.1 For any contract longer than 12 months, we must be able to end it for convenience on **90 days' notice or less**, paying only for services received and costs already committed. We do not pay "all remaining fees" as an early termination charge.

7.2 The vendor's notice period to end the contract without cause must be **at least as long as ours**, so we have time to find a replacement.

7.3 On exit we must get our data back in a usable format within 30 days.

Rule 8. We own what we pay to have built

8.1 Anything made **specifically for Kopi Kita** (custom apps, designs, recipes developed with us, reports, marketing materials) must belong to Kopi Kita once we have paid for it.

8.2 The vendor may keep its own existing tools and platform, but must give us a permanent licence to anything of theirs built into our work.

8.3 For custom software, we must receive the source code or have it held in escrow.

8.4 Our data, recipes and brand always stay ours.

Rule 9. Malaysian law, Malaysian forum

9.1 Every contract must be governed by **the laws of Malaysia**.

9.2 Disputes go to **the courts of Kuala Lumpur** (or another Malaysian court) or to **arbitration at the Asian International Arbitration Centre (AIAC)** in Kuala Lumpur. Mediation at the AIAC first is welcome.

9.3 We do not agree to foreign law or foreign courts, including Singapore, without an exception under Rule 13.

Rule 10. NDAs: mutual, with carve-outs, 3 years maximum

10.1 Our NDAs must be **mutual** unless only one side is sharing anything.

10.2 They must contain the standard carve-outs: public information, information we already had, information received lawfully from someone else, information we develop ourselves, and disclosure required by law.

10.3 The confidentiality period must be **3 years or less**. A longer period is allowed only for genuine trade secrets, such as our roasting profiles.

10.4 NDAs must not contain liquidated damages, fixed penalties, or a promise to indemnify the other side for all losses.

Rule 11. No non-competes

11.1 We do not sign any contract, and especially not an NDA, that stops Kopi Kita from operating in a market, selling a product, or working with any customer or supplier.

11.2 A short exclusivity commitment in a main commercial contract may be acceptable, but only with the Managing Director's written approval and a clear end date.

Rule 12. Personal data

12.1 Any vendor that handles personal data for us (customer loyalty data, staff records, CCTV footage, delivery addresses) is a data processor and **must sign a PDPA clause** that complies with the Personal Data Protection Act 2010.

12.2 The clause must say the vendor uses the data only on our instructions, keeps it secure, tells us of any breach within **72 hours**, does not move it outside Malaysia without our consent, and deletes or returns it at the end.

Rule 13. Exceptions

13.1 An exception to any rule needs the written approval of the Managing Director, with the reason recorded in the contracts register. Exceptions to Rules 2, 3, 9 and 11 also need advice from our external lawyers before signing.

13.2 This policy is reviewed every year by the CFO.

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